

- A. Information Utility ✓
B. Form Utility
C. Place Utility ✓
D. Time Utility
E. Possession Utility
60. Which one of the following is among ways to undertake marketing intelligence?
A. Informal search
B. Formal search ✓
C. Unfocused scanning
D. Semi-focused scanning
E. All of the above.
61. The type of pricing where an organization sets higher price first and then reduces when competition soars is:
A. Penetration pricing
B. Skimming price ✓
C. Cost plus pricing
D. Markup price
E. Price minus pricing
62. Identify one of the factors which should be considered to select the best distribution channels.
A. The nature of the products to be distributed ✓
B. The characteristic of the market to be served ✓
C. The resources and capabilities of the company ✓
D. All of the above.
E. A and B
63. Which of the following statements is not correct? ✓
A. Advertisement is a non-personal, one-way, mass communication to promote one's product. ✓
B. Personal selling is designed to influence a person's or group's purchase decision in person. ✓
C. The objective of sales promotion is to arouse the interest of customers and make them take action ✓
D. Indirect channels are always inefficient in addressing the target market ✓
E. Production and consumption of services is undertaken simultaneously. ✓
64. Which of the following is a benefit of marketing intelligence? ✓
A. Provides market and customer orientation ✓
B. Promotes more investment in the existing products
C. Encourages cooperation with competitors regardless of their moves
D. Reduces cost through market aggregate marketing
E. All
65. All of the following are features of Sole proprietorship form of business organization, except?
A. Financial muscle ✓
B. Ease of formation ✓
C. Unlimited liability ✓
D. Business secrecy
E. None of the above
66. Which of the following is/are true?
A. Creditor's money is better for entrepreneurs than investor's money ✓

90. Which of the following statements is the most accurate description for the concept of Standard deviation?
- The total distance from the smallest score to the highest score.
 - The square root of the total distance from the smallest score to the highest score.
 - The squared average distance between all scores and the mean.
 - The average distance between a score and the mean.
91. A coin is tossed 5 times, what is the probability of getting exactly 3 heads?
- 0.5
 - 0.3125
 - 0.1563
 - 0.03125
92. A university found that 20% of its students withdraw without completing the introductory statistics course. Assume that 20 students registered for the course. What is the probability that two or fewer will withdraw?
- 0.1369
 - 0.2060
 - 0.2054
 - 0.7940
 - None of the above
93. A manufacturer of screws has found that on an average 0.04 of the screws produced are defective. A random sample of 400 screws is examined for the proportion of defective screws. What is the probability that the proportion of defective screws in the sample is greater than 0.05?
- 0.1539
 - 0.3461
 - 0.4793
 - 0.0207
 - None of the above.
94. If we say that $\alpha = 0.10$ for a particular hypothesis test, we are saying that:
- Ten percent is the probability for accepting a hypothesis that is true.
 - Ten percent is the risk we take of rejecting a hypothesis that is true.
 - Ten percent is the risk we take of accepting a hypothesis that is false.
 - A and B only.
 - A and C only.
95. A chi-square value can never be negative because:
- Differences between expected and observed frequencies are squared.
 - A negative value would mean that the observed frequencies were negative.
 - The absolute value of the differences is computed.
 - Only A and B.
 - None of the above.
96. Regression and correlation methods are related to which of the following issues?
- Measuring the rate of change in one variable for a given change in another variable.
 - Bringing out the nature of relationship between any two variables.
 - Evaluating the strength of the relationship.
 - All of the above.
 - None of the above

- C. Place
D. Promotion
83. Which one of the following is **not true** about product life cycle?
 A. In the introduction stage Use cost-plus pricing strategy
 B. In growth stage the company advertizes among early adopters and dealers
 C. In the maturity stage the marketing strategy is to maximize profit while defending market share
 D. In maturity stage there is low cost per customer
 E. None
84. Company X and Company Y produce the same product if Mr x increase in a product's price as transportation, duty, and distributor margins are added to the factory price this situation is called _____
 A. Transfer pricing
 B. Price escalation
 C. Gray market good
 D. Skimming
85. _____ entry modes are long-term non-equity associations between an international company and entity in a foreign target country
 A. Exporting
 B. Contractual
 C. Greenfield
 D. Acquisition
86. Which of the following is a **categorical variable**?
 A. Tire pressure
 B. Bank account balance
 C. Daily sales in a store
 D. Eye color
87. Over the past 10 years, the return on stock A has averaged 10.4% with standard deviation of 3.1%. The return on stock B has averaged 4.6% with standard deviation of 0.8%. Which of the following statement is true?
 A. Stock A has smaller relative variation than stock B
 B. Stock B has smaller relative variation than stock A
 C. Both stocks exhibit the same relative variation
 D. Unable to tell with the given information
88. Suppose data are normally distributed with a mean of 120 and standard deviation of 30. Between what two values will approximately 68% of the data fall?
 A. 60&180
 B. 105&135
 C. 90&150
 D. 30&210
89. A researcher is studying students in college in California. She takes a sample of 400 students from 10 colleges. The average age of all college students in California is
 A. statistic
 B. A parameter
 C. The median
 D. A population
 E. None of the above

90. Which of the following statements is the most accurate description for the concept of Standard deviation?
 A. The total distance from the smallest score to the highest score
 B. The square root of the total distance from the smallest score to the highest score
 C. The squared average distance between all scores and the mean
 D. The average distance between a score and the mean

91. A coin is tossed 5 times, what is the probability of getting 5 heads?
 A. 0.5
 B. 0.3125
 C. 0.1563
 D. 0.03125

92. A university found that the probability of a student being a member of a fraternity is 0.15. What is the probability of a student not being a member of a fraternity?
 A. 0.15
 B. 0.85
 C. 0.1563
 D. 0.03125

$$\bar{X} = 120$$

$$SD = 30$$

$$A = 10.4\%$$

$$B = 4.6\%$$

$$Z = \frac{X - \bar{X}}{SD}$$

$$W = 10.4\%$$

75. The buyers buying behaviour can be affected by the following factors except:
- A. Social classes
 - B. Psychological factors
 - C. Age and life cycle stage
 - ☒ D. None of the above
76. Identify the false statement among the alternatives provided
- A. In habitual buying behavior customers are highly involved in buying decision
 - ☒ B. Customers are highly involved in buying decision to decrease post purchase dissonance
 - C. Butterflies are profitable customers but they are not loyal
 - D. The reaction of the marketer for no demand should be promotional campaign
77. Almaz buys the product she need from any shop available nearby, she did not spend much time in assessing information about the product. Even if the product have different brands she is not loyal to any of the brands. Which type of consumer buying behavior have you observed?
- A. Complex buying behavior
 - B. Dissonance reducing buying behavior
 - C. Variety seeking buying behavior
 - ☒ D. Habitual buying behavior
78. Which of the following is true?
- A. When designing products, marketers must first define the core of benefits that the product will provide to consumers.
 - B. Non-durable products are goods that are normally consumed quickly and used on one or a few usage occasions
 - C. Convenience products are consumer products and services that the customer usually buys frequently, immediately, and with a minimum comparison and buying effort.
 - ☒ D. All
 - E. None
79. For selecting marketing intermediaries all the following issues should be considered except.
- A. Intermediaries who reach their target market
 - B. Intermediaries who have a good reputation
 - C. Intermediaries who display and promote merchandise well
 - ☒ D. Intermediaries who order limited quantity
 - E. All
 - F. None
80. Of the following one is not the demographic variable used to segment market.
- ☒ A. Occasions
 - B. Education
 - C. Age
 - D. Income
 - E. Occupation
 - F. None
81. A marketing strategy in which companies focus on few or one target markets and few competitors are involves:
- ☒ A. Differentiated marketing
 - B. Undifferentiated marketing
 - C. Niche marketing
 - D. Individual marketing
82. Which of the marketing mix element generates a revenue for the firm?
- A. Product
 - ☒ B. Price

8. Identify the one which is the characteristics of formal organization?
A. It is based on well-defined authority ✓
B. It is a social structure formed to meet personal needs ✓
C. Spontaneously formed organization as people associate each other ✓
D. It operates outside of formal authority relationship ✓
E. All of the above
9. Identify the type of power than do not change in change in position
A. Legitimate power ✓
B. Coercive power ✓
C. Reward power ✓
D. Expert power ✓
10. Ato Alemu, the general manager of commercial bank of Ethiopia, decided to terminate some employs as a result of their poor performance. Which type of power the manager exercise?
A. Legitimate power B. Coercive power C. Reward power D. Referent power
11. The first process of delegation of authority is _____
A. Assignment of tasks ✓
B. Acceptance of responsibility
C. Delegation of authority
D. Creation of accountability
12. Which of the following is not true?
A. The low compensation policy does not ultimately save money to the employer ✓
B. Commission is a lump-sum payment offered to sales employees ✓
C. Collective bargaining is a process to reach settlement through dialogue and consensus ✓
D. Promotions based on seniority advance workers who are best qualified for the position ✓
13. Which of the following employee movement provides all rounded advantage to the employee?
A. Demotion ✓
B. Promotion
C. Transfer ✓
D. Resignation ✓
14. Identify the off-the-job HR training and development program
A. Coaching ✓
B. Job rotation ✓
C. Job enlargement ✓
D. Class-room lecture
15. Identify the one which is categorized as indirect financial compensation
A. Bonus ✓
B. Employee Services ✓
C. Commission ✓
D. Work environment
16. Effective employee appraisal can be done by all except;
A. Those who have the opportunity to observe employee's performance ✓
B. Those who have the ability to translate observation into useful assessments ✓
C. Those who have the motivation to provide useful performance evaluations ✓

97. Assume Ms. Mekdes is conducting research in Municipality on "assessment of causes of conflict" and there are 20 employees in the municipality, she wants to take 10 employees of the municipality as per her judgment, what type of sampling technique is it?
A. Quota ☒ B. purposive C. Systematic D. Snow ball
98. ----- is the process of reasoning from a part to the whole.
☒ A. Induction reasoning B. deduction reasoning C. subtraction reasoning D. none
99. Which one of the following is not a primary data collection tool?
A. Journals and Publications ☒ B. Questionnaires C. Focus group discussions D. Observations
100. One of the following is not correct about criteria's for good research:
A. The researcher should report with complete frankness, flaws in procedural design and estimate their effects upon the findings. ✓
B. The purpose of the research should be clearly defined and common concepts be used. ✓
C. The research procedure used should be described in sufficient detail to permit another researcher to repeat the research for further advancement.
D. ☒ Experience has less value for Greater confidence in research

Points to u

24. IDENTIFY the right statement regarding HRM
☒ A. Human resource management is a pervasive activity,
B. HRM is being practiced in every organization, including religious institutions
C. The human resource is said to be the most important element in an organization.
D. In an organization, managers at lower levels are not concerned with HRM
25. An HRM function which involves availability of employees with the necessary knowledge, skills, abilities and types whenever required in the future is termed as;
A. Job analysis
☒ B. HR Planning
C. Staffing
D. Selecting
26. All of the following circumstances require external recruitment, except _____
A. To fill entry-level jobs
B. To acquire skills not possessed by current employees
C. To obtain employees with different backgrounds and provide new ideas
☒ D. To motivate current employees
27. _____ is a formal complaint presented by an employee which demonstrates any kind of dissatisfaction in the employee, arising out of the factors related to his/her job
A. Grievance
B. Discipline
C. Labor relation
☒ D. Termination
28. Identify the **Effect of grievance on the management**
☒ A. Frustration
B. De-motivation
C. High labor turnover
D. Unfriendliness
29. Which of the following is not the element of job description?
A. Job summary
☒ B. Primary Responsibilities
C. List of Typical Duties and Responsibilities
D. Desirable amount of previous experience in similar work
30. Which of the following is a major source of entry-level administrative, technical, and professional talent?
☒ A. Colleges and Universities
B. Walk-ins and Write-ins
C. Self-employed Workers
D. Competitors
31. Which one of the following can't be considered as the benefits of studying OB?
A. Understanding, Predicting, and Influencing behavior
☒ B. Development of soft skills/ interpersonal skills
C. Personal Growth through insight into human behavior
D. Sharpening & refining common sense
☒ E. None

32. Among the following which one can't be considered as characteristics of Organizational behavior?
- A. It is a normative science
 - B. Having a distinctive humanistic outlook
 - C. It is Performance (objective) oriented
 - D. It replaces systematic study with intuition.
 - E. None
33. _____ is the process through which the information from outside environment is selected, received, organized and interpreted to make it meaningful.
- A. Perception
 - B. Attitude
 - C. Personality
 - D. Behavior
 - E. None
34. A perceptual error that involves drawing a general impression about an individual on the basis of a single characteristic, is called
- A. Halo Effect
 - B. Stereotyping
 - C. Primacy Effect
 - D. Contrast
 - E. None
35. Identify the correct explanation regarding explicit and tacit knowledge.
- A. Tacit knowledge can be written down and communicated to others.
 - B. Explicit knowledge is more of action oriented.
 - C. Explicit knowledge known below the level of consciousness.
 - D. Tacit knowledge is well organized knowledge.
 - E. None
36. Which stage of group development characterized by close relationships and cohesiveness.
- A. Forming Stage
 - B. Norming Stage
 - C. Storming stage
 - D. Performing stage
 - E. Adjourning stage
37. Sifen, a private lawyer with high educational qualification had a significant influence on the Ethiopian children adoption draft law. What kind of power was she possibly exercising to influence others?
- A. Expert power
 - B. Referent power
 - C. Reward power
 - D. Coercive power
 - E. None
38. Which one of the followings is correct about the assumptions of Maslow's need theory?
- A. Only unsatisfied need can influence behavior
 - B. A person's need is arranged hierarchically
 - C. A person will at least minimally satisfy each level of need before filling the need at the next level

- ~~D~~ Any member of the organization
17. Which of the following is the major purposes of employee development? ☒ X
- A. Establishes a sound relationship between the worker and his/her current job
 - B. Stimulate a more creative and innovative approach to problem solving & decision making
 - C. Minimizes operational errors
 - D. Enhances employee confidence and morale
18. Performance appraisal ~~cannot~~ be explained as;
- A. a formal system of periodic review and evaluation of an individual's job performance
 - B. a function provides feedback to employees that will improve their performance
 - C. a function that enable management in career planning, promotion and placement decisions
 - D. something paid to employees in the form of salaries, bonuses, and commission - *Carper*
19. Which of the following is not the aim of compensation system to an organization?
- A. To attract qualified employees required
 - B. To retain and motivate the existing workforce toward its goal achievement
 - C. To form unionized employees to protect rights of workers
 - D. Comply the legal requirements set by government
20. Identify the wrong statement regarding HRM environment
- A. The boundary that separates the organization from the external environment is clear
 - B. HR managers should be aware that rapid changes are occurring within the environment
 - C. Today, employees have more social concerns than economic interests than early times
 - D. Internal environments are under the control of management whereas external environment is beyond control of management
21. Which of the following is not the element of job specification?
- A. Primary Responsibilities
 - B. Qualification
 - C. Past experience in similar work
 - D. Skill & knowledge required
22. ----- is the systematic assembly of all the facts about a job.
- A. Workforce planning
 - B. Job description
 - C. Job analysis
 - D. Job specifications
23. IDENTIFY the one which is chronologically earliest to happen.
- A. Employment requisition
 - B. Vacancy announcement
 - C. HR Plan
 - D. Orientation

ARSI UNIVERSITY
COLLEGE OF BUSINESS AND ECONOMICS
DEPARTMENT OF MANAGEMENT
MODEL EXAMINATION FOR EXIT EXAM

Time Allowed: 2:30

Date: April 13, 2023

IDNO: 214417

Name:

Cautions!!

- > Before you start, check the exam has 15 pages including cover page
- > All questions under all items are compulsory and you need to attempt
- > Read instructions very carefully under each item
- > Cheating is strictly forbidden
- > Get your mobile phones switched off.
- > Don't turn this page until the invigilator told to do.

Choose the best answer from the alternatives provided

1. Suppose that Netherland's university of Twenty has granted a PHD scholarship opportunity to 2 lecturers in school of business and Economics. Dean of the school has called a meeting and explained the details of the scholarship to staffs. Which management role is played by the dean?
A. Negotiator B. Spokesperson ☒ C. Disseminator D. Monitor
2. Which principle of Fayol states "one rule of objective and one plan".
A. Chain of command ☒ B. Unity of direction C. Centralization E. None
3. From the studies Taylor conducted, which study's objective was developing Standard or the day's work?
A. Time and Motion Study B. Uniform method of routine task
C. Individual Incentive E. None D. Functional Foremanship stud
4. Mr. Ali is a Chief executive officer (CEO) of an organization. He is at which level of management?
A. Lower level B. Middle level ☒ C. Top level D. Team leader
5. The type of decisions that can be handled with the organizations existing rules, procedures or past known practical way is best termed as:
A. Programmed decision B. Non programmed decision
C. Situational decision D. All of the above
6. The condition of decision making under which the decision maker has no idea as to what the outcome of the implemented alternative would be
A. Certainty ☒ B. Uncertainty C. Risk D. All of the above
7. Among the following one is not Importance of Planning?
A. It provides direction and sense of purpose
☒ B. It promotes inefficiency
C. It provides basis for controlling
D. It provides guideline for decision making

- D. All of the above
E. All except A
39. Among the following which one best explain arbitrators?
A. A third party to a negotiation who has the authority to dictate an agreement.
B. A trusted third party who provides an informal communication link between the negotiator and the opponent.
C. A neutral third party who facilitates a negotiated solution by using reasoning.
~~D. B and C~~
E. None

40. An organizational structure which group people by function and product teams simultaneously is called?
A. Product Team Structure
B. Matrix structure
~~C. Hybrid structure~~
D. Functional Structure
E. None

41. One of the following is not signs of direct resistance of change
A. People tell you their real concerns, and how they feel, openly and honestly
B. People maintain eye contact and use "I" statements
C. Leads to honest negotiation or conflict resolution
~~D. People ask for more and more detail, endlessly questioning~~ *(Indirect Resistance)*

42. Among steps of managing resistance to Change one say that "Mobilize energy and commitment through joint identification of business problems and their solutions"
This indicates that:

- A. you should have several competing visions of what should be done in change
B. You can generate energy and commitment if you involve people in the process of change
C. Concentrate on things that will contribute directly and tangibly to bottom line improvement
D. Don't forget to implement ways to measure the change

43. Autocratic leadership style Should not be used when :

- ~~A. Staff expect their opinions heard~~
B. New, untrained staffs do not know which tasks to perform ✓
C. Effective supervision provided only through detailed orders and instructions; ✓
D. A manager's power challenged by staff

44. _____ is the leadership style in which all authority or power given to the staff and they determine goals, make decisions, and resolve problems on their own

- A. Democratic B. Laissez-Faire C. Bureaucratic D. Autocratic

45. The concept of Business Process Reengineering (BPR) is:

- A. It is superficial change or modification ✓
B. It is way to repair or improve the existing system ✓
C. It is incremental change ✓
D. It is a revolutionary kind of change ✓

53. _____ is a contractual agreement between the inventor and the government which gives and protects the exclusive right to the benefits resulting from his/her invention.
- A. Trademarks
 - ☒ B. Patents
 - C. Copyrights
 - D. B and C
 - E. None of the above
54. One of the following *cannot* be a source of new product idea?
- A. Employees
 - B. Customers
 - C. Suppliers
 - D. Competitors
 - E. None
55. Unlike Copy rights and patents, trade mark:
- A. Provides the owner with exclusive rights to hold, transfer(sell), to will, use as a collateral
 - B. Has limited life of usage
 - C. Can be used by other business organization as long as it is in foreign markets
 - D. Can last indefinitely, as long as the mark continues to perform its indicated function.
 - E. None
56. Wants for specific products that are backed by ability and willingness to buy them is called:
- A. Exchange
 - B. Produce
 - C. Want
 - D. Demand
 - E. Value
57. Which of the following do not characterize marketing? It
- A. Is the effort to identify and satisfy customers' needs and wants
 - ☒ B. Produces products which are of high quality
 - C. Is a social and managerial process by which an individual or group obtain what they need and want
 - D. Is the creation and delivery of standard of living to society
 - E. None
58. Which of the following statements is not correct about marketing philosophies?
- A. The major concern of production concept is to make products accessible at lower price.
 - ☒ B. Maintenance of long-term relationship with customers is the concern of sales concept.
 - C. Organizations which focus on product concept will make superior quality products.
 - D. The Selling Concept favors undertaking an aggressive selling and promotion effort
 - E. Satisfaction of customers is at the center of marketing concept.
59. The kind of utility that exists when a product is readily accessible to potential customers is

A. Information Utility
B. Form Utility
☒ C. Place Utility
D. Time Utility
E. Possession Utility

60. Which one of the following is among ways to undertake

- A. Informal search
- ☒ B. Formal search
- C. Unfocused scanning
- D. Semi-focused scanning
- E. All of the above

61. The type of price

- A. When cost

46. Which one is not a reason for conflict in the organization?
A. Compatibility of goals
B. Differences over interpretations of facts
C. Negatively affect another party
D. Disagreements based on behavioral expectations
47. Intra-group conflict is:
A. Occurs between group members ✓
B. Disagreement between two people
C. Occurs between or among two or more groups
D. Disagreement within an individual
48. Identify one which cannot be categorized under economic/control criteria to define small business?
A. Market Share ✓
B. Personalized management
C. Labor intensive operation
D. Number of employees
E. B and C
49. One of the following cannot be considered as importance of MSEs in developing countries?
A. Economical Use of Capital ✓
B. Less mobilization of Local Resources to protect environment
C. Less Dependence on Foreign Capital ✓
D. Shorter Gestation Period
E. High level of flexibility to produce customized products ✓
50. One of the following do not characterize sole proprietor form of business. It is
A. Owned by single individual ✓
B. Suitable for establishing small and micro businesses ✓
C. The form in which the owner enjoys all the benefits as well as bears all the risks.
D. The form in which an entrepreneur can easily raise funds needed to establish and operate the business
E. None
51. One of the following is not under the main supporting packages for MSEs development in Ethiopia.
A. Awareness creation about the sector ✓
B. Provision of legal services to form legal business enterprises ✓
C. Hiring the necessary professionals to the business.
D. Providing Technical and business management training
E. Financial support based on personal saving ✓
52. Which one of the following is the new product development process stage which helps to reduce the large number of new product ideas to few vital and valuable ideas?
A. New idea generation
B. Concept Development and Testing ✓
C. Marketing Strategy Development
D. Idea Screening
E. None of the above